

Chapter 15

Stock Selection for the Enterprising Investor

*I*n the previous chapter we have dealt with common-stock selection in terms of broad groups of eligible securities, from which the defensive investor is free to make up any list that he or his adviser prefers, provided adequate diversification is achieved. Our emphasis in selection has been chiefly on exclusions—advising on the one hand against all issues of recognizably poor quality, and on the other against the highest-quality issues if their price is so high as to involve a considerable speculative risk. In this chapter, addressed to the enterprising investor, we must consider the possibilities and the means of making *individual* selections which are likely to prove more profitable than an across-the-board average.

What are the prospects of doing this successfully? We would be less than frank, as the euphemism goes, if we did not at the outset express some grave reservations on this score. At first blush the case for successful selection appears self-evident. To get average results—e.g., equivalent to the performance of the DJIA—should require no special ability of any kind. All that is needed is a portfolio identical with, or similar to, those thirty prominent issues. Surely, then, by the exercise of even a moderate degree of skill—derived from study, experience, and native ability—it should be possible to obtain substantially better results than the DJIA.

Yet there is considerable and impressive evidence to the effect that this is very hard to do, even though the qualifications of those trying it are of the highest. The evidence lies in the record of the numerous investment